

HND 2 ACCOUNTANCY (FPM)

INVESTMENT ACCOUNT IFRS 9 (FINANCIAL INSTRUMENT)

INTRODUCTION

Investment is putting your money into an asset that can grow in value or produce income or both. For example, you can buy equity stock of a listed company in the hopes of receiving regular dividends and capital appreciation.

An investment could be on either fixed interest securities (debentures/loan stocks) or equities. Investment in fixed interest securities attracts fixed interest on the nominal value of the in the investment. The interest may be paid annually, semi-annually or quarterly. An equity investment is money that is invested in a company by purchasing shares of that company in the stock market. These shares are typically traded on a stock exchange.

ACCOUNTING FOR INVESTMENT

The relevant standard for investment account is IFRS 9, Financial Instrument. This standard replaced IAS 39, Measurement and Recognition of Financial Instrument. Other related standards are IAS 32 Financial Instrument Presentation and IFRS 7 Financial Instrument Disclosure.

A financial instrument is a contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

With references to assets, liabilities and equity instruments, the statement of financial position immediately comes to mind. Further, the definition describes financial instruments as contracts, and therefore in essence financial assets, financial liabilities and equity instruments are going to be pieces of paper.

For example,

- When an invoice is issued on the sale of goods on credit, the entity that has sold the goods has a financial asset – the receivable – while the buyer has to account for a financial liability – the payable.
- Another example is when an entity raises finance by issuing equity shares. The entity that subscribes to the shares has a financial asset – an investment – while the issuer of the shares who raised finance has to account for an equity instrument – equity share capital.
- A third example is when an entity raises finance by issuing bonds (debentures). The entity that subscribes to the bonds – ie lends the money – has a financial asset – an investment – while the issuer of the bonds – ie the borrower who has raised the finance – has to account for the bonds as a financial liability.

Accounting for financial instruments, in simple terms are about how we account for investments in shares, investments in bonds and receivables (financial assets), how we account for trade

payables and long-term loans (financial liabilities) and how we account for equity share capital (equity instruments).

Examples of Financial Instruments Contracts

- a. Credit sales (not cash sales)
- b. Bank savings (including all forms of bank deposit)
- c. Loan transaction (both from banks and other sources)
- d. Purchase of treasury bills
- e. Purchase of bonds
- f. Ordinary shares (or equity shares) transaction

Illustration 1

The following relates to ABC for the year ended 31 December 2015

- i. ABC owns cash in the amount of N5,000,000
- ii. ABC owns a demand deposit in the amount of N20m with Zenith Bank.
- iii. ABC's financial position includes inventory of N35m
- iv. ABC sold goods amounting to N12m to Mr. John on credit.

FINANCIAL ASSETS

Financial asset is any asset that is cash or equity instrument of another entity (e.g shares of another). It can be described as a contractual right to receive cash or another financial asset from another entity; or to exchange financial instruments with another entity under conditions that are potentially favourable to the entity.

EXAMPLES OF FINANCIAL ASSETS

1. Trade receivables
2. Cash balance
3. Bank deposits and bank (positive) balance
4. Investment in equity instruments (i.e. investments in shares of other company)
5. Loan asset or investments (i.e loan from the lender's point of views)
6. Investment in Government bonds
7. Investments in treasury bills
8. Investments in commercial papers
9. Lease receivables (from the lessor's point of view)
10. Derivatives financial assets
11. Contingent consideration receivable in a business combination (from seller's point of view)
12. Deferred consideration receivable in a business combination (from seller's point of view)

CLASSIFICATION OF FINANCIAL ASSETS

IFRS 9 classifies financial assets into the following three based on the business motives for managing the financial assets and their contractual cash flows characteristics:

1. Financial assets measured at amortised cost;
2. Financial assets measured at fair value through other comprehensive income (FVTOCI)
3. Financial assets measured at fair value through profit or loss (FVTPL).

INITIAL MEASUREMENT OF FINANCIAL INSTRUMENTS

All financial instruments are initially measured at fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs.

Illustration 2

On January 1, 2018 Bakka Plc purchased a bond with a N20,000,000 nominal value at a discount of 5% and incurred N150,000 in relation to the purchase of the bond. The nominal interest rate is 12% and is receivable annually in arrears while the effective interest rate is 15%.

The bond will be redeemed or realized at a premium of N80,000.

Required

Determine the value of the bond or financial asset upon initial recognition on 1 January 2018.

Illustration 3

On October 1, 2016, Wenger Plc bought a bond of N5,000,000 at a premium of 2% and also incurred N200,000 in relation to the purchase of the bond. The nominal interest rate is 13% and is receivable annually in arrears while the effective interest rate is 10%.

The bond is redeemable at par.

Required

Determine the value of the bond or financial asset upon recognition on 1 January 2016.

Illustration 4

On 1 January 2021 ABC Plc purchases a debt instrument for its fair value of N1,000,000. The debt instrument is due to mature on 1 January 2026. The instrument has a principal amount of N1,250,000 and the instrument carries fixed interest at 4.72% that is paid annually in arrears. The effective interest rate is 10%.

Required

Explain how should ABC plc account for the debt instrument (financial asset) over its five-year term and show the financial statements extracts over the relevant periods.

Illustration 5

BIG Plc acquires a fixed interest rate bond for N896,900 on 1 January 2023. The redemption amount, which is payable on 1 January 2026 is N1,000,000. At the end of each year, BIG Plc receives interest of 4% on the redemption amount while the effective interest rate is 8%.

Required

- a. Determine the annual interest received or receivable
- b. Show the amortization schedule over the relevant periods
- c. Show financial statement extracts over the relevant periods.

NB. *The requirement to recognize a loss allowance on debt instruments held at amortised cost or fair value through other comprehensive income should be ignored.*